

26416 Mariposa at Reed Road - Application Summary

REAL ESTATE ANALYSIS DIVISION

May 4, 2026

PROPERTY IDENTIFICATION	
Application #	26416
Development	Mariposa at Reed Road
City / County	Houston / Harris
Region/Area	6 / Urban
Population	Elderly Limitation
Set-Aside	General
Activity	Acquisition/Rehab (Built in 2008)

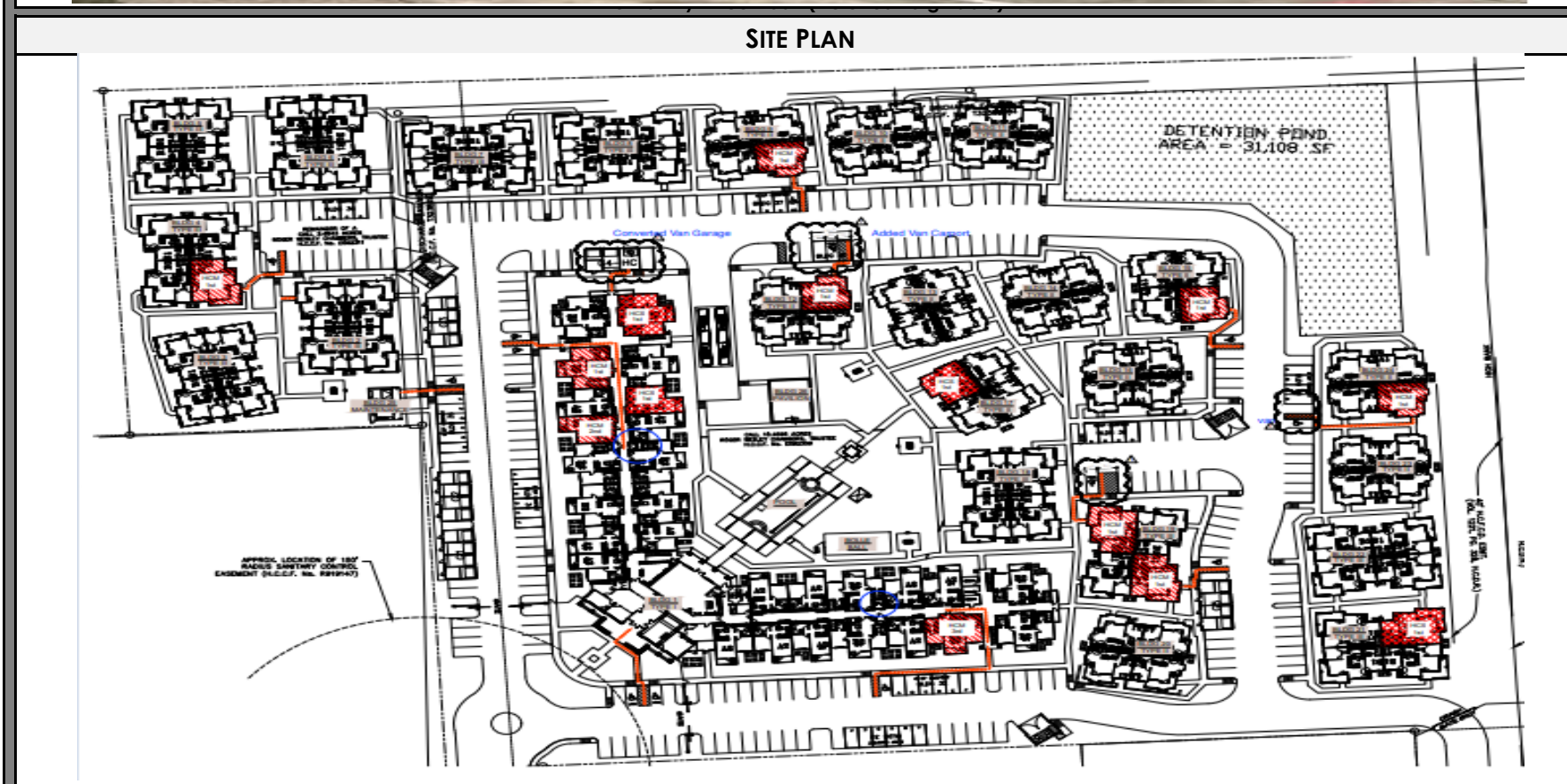
RECOMMENDATION					
TDHCA Program		Request	Recommended		
FHTC (4% Credit)		\$1,543,217	\$1,540,077	\$8,556/Unit	\$0.82

KEY PRINCIPALS / SPONSOR		
Victory Redevelopment Corp / Joseph L Proler Stuart Shaw Family Mgmt LLC / Stuart Shaw & Casey Bump		
Related Parties	Contractor - Yes	Seller - Yes



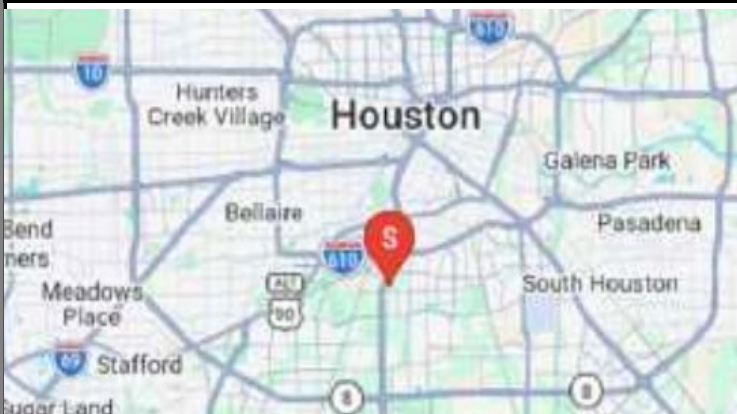
UNIT DISTRIBUTION			INCOME DISTRIBUTION		
# Beds	# Units	% Total	Income	# Units	% Total
Eff	-	0%	20%	-	0%
1	93	52%	30%	-	0%
2	87	48%	40%	-	0%
3	-	0%	50%	-	0%
4	-	0%	60%	172	96%
			70%	-	0%
			80%	-	0%
			MR	8	4%
TOTAL	180	100%	TOTAL	180	100%

PRO FORMA FEASIBILITY INDICATORS			
Pro Forma Underwritten		Applicant's Pro Forma	
Debt Coverage	✓ 1.24	Expense Ratio	✓ 49.8%
Breakeven Occ.	✓ 83.6%	Breakeven Rent	\$994
Average Rent	\$1,102	B/E Rent Margin	✓ \$108
Property Taxes	Exempt	Exemption/PILOT	100%
Total Expense	\$6,206/unit	Controllable	\$4,101/unit



MARKET FEASIBILITY INDICATORS			
Gross Capture Rate (10% Maximum)		N/A	
Highest Unit Capture Rate	✓ 0%	N/A	N/A
Dominant Unit Cap. Rate		0 BR/20%	0
Premiums (↑80% Rents)	N/A		
Rent Assisted Units	N/A		

DEVELOPMENT COST SUMMARY			
Costs Underwritten		Applicant's Costs	
Avg. Unit Size	903 SF	Density	14.3/acre
Acquisition		\$107K/unit	\$19,300K
Building Cost	\$53.76/SF	\$49K/unit	\$8,736K
Hard Cost		\$57K/unit	\$10,257K
Total Cost		\$226K/unit	\$40,701K
Developer Fee	\$4,694K	(50% Deferred)	Paid Year: 9
Contractor Fee	\$1,436K	30% Boost	Yes

DEBT (Must Pay)					CASH FLOW DEBT / GRANT FUNDS					EQUITY / DEFERRED FEES	
Source	Term	Rate	Amount	DCR	Source	Term	Rate	Amount	DCR	Source	Amount
Stellar Bank	18/40	5.35%	\$14,740,000	1.24						RBC Capital Markets Corporation	\$12,602,112
					Seller's Note	55/0	3.67%	\$9,553,448	1.24		
										SSFD Reed Road Active Adult 2026 Developer LLC	\$2,355,695
					Income From Operations	0/0	0.00%	\$1,330,213	1.24	TOTAL EQUITY SOURCES	\$14,957,806
					Reinvestment Income	0/0	0.00%	\$119,116	1.24	TOTAL DEBT SOURCES	\$25,742,777
TOTAL DEBT (Must Pay)			\$14,740,000		CASH FLOW DEBT / GRANTS			\$11,002,777		TOTAL CAPITALIZATION	\$40,700,583
CONDITIONS											
Receipt and acceptance by Cost Certification: Certification of comprehensive testing for asbestos; that any appropriate abatement procedures were implemented; and that any remaining asbestos-containing materials are being managed in accordance with an acceptable Operations and Maintenance (O&M) program.											
BOND RESERVATION / ISSUER					AERIAL PHOTOGRAPH(s)						
Issuer	Houston Housing Authority Fountainview PFC										
Expiration Date	8/4/2026										
Bond Amount	\$20,000,000										
BRB Priority	Priority 2										
% Financed with Tax-Exempt Bonds		51.8%									
RISK PROFILE											
STRENGTHS/MITIGATING FACTORS											
▫ Experienced developer											
▫ Property tax exemption											
WEAKNESSES/RISKS											
▫ Reliance on tax exemption for feasibility											
AREA MAP											
											



DEVELOPMENT IDENTIFICATION

TDHCA Application #: **26416** Program(s): **4% HTC**

Mariposa at Reed Road

Address/Location: 2889 Reed Road

City: Houston County: Harris Zip: 77051

Population: Elderly Limitation Program Set-Aside: General Area: Urban

Activity: Acquisition/Rehab Building Type: Elevator Served Region: 6

Low-Income: 40% at 60%

Analysis Purpose: New Application - Initial Underwriting

ALLOCATION

TDHCA Program	REQUEST				RECOMMENDATION						
	Amount	Int. Rate	Amort	Term	Amount	Int. Rate	Amort	Perm. Term	Perm Lien	Const. Term	Const Lien
FHTC (4% Credit)	\$1,543,217				\$1,540,077						

CONDITIONS

■ Receipt and acceptance by Cost Certification:

Certification of comprehensive testing for asbestos; that any appropriate abatement procedures were implemented; and that any remaining asbestos-containing materials are being managed in accordance with an acceptable Operations and Maintenance (O&M) program.

Should any terms of the proposed capital structure change or if there are material changes to the overall development plan or costs, the analysis must be re-evaluated and adjustment to the credit allocation and/or terms of other TDHCA funds may be warranted.

SET-ASIDES

TDHCA SET-ASIDES for HTC LURA		
Income Limit	Rent Limit	Number of Units
60% of AMI	60% of AMI	172

DEVELOPMENT SUMMARY

Mariposa at Reed Road is a 180-unit existing housing tax credit development (060217 Mariposa at Reed Road) proposed for acquisition and rehabilitation using tax-exempt bonds and 4% housing tax credits. The development includes one-, and two-bedroom units. The acquisition is an identity of interest transaction and an appraisal is provided to support the proposed acquisition price and acquisition eligible basis.

The bonds will be issued by the Houston Housing Authority (or one of their affiliates) and the property will keep existing HOME funds that are current in place from the original transaction as part of the new transaction.

A ground lease structure will be used to allow the development to qualify for an ad valorem tax exemption.

The existing HOME loan that is in place will remain as part of the property and, if needed, be resubordinated to the new lender.

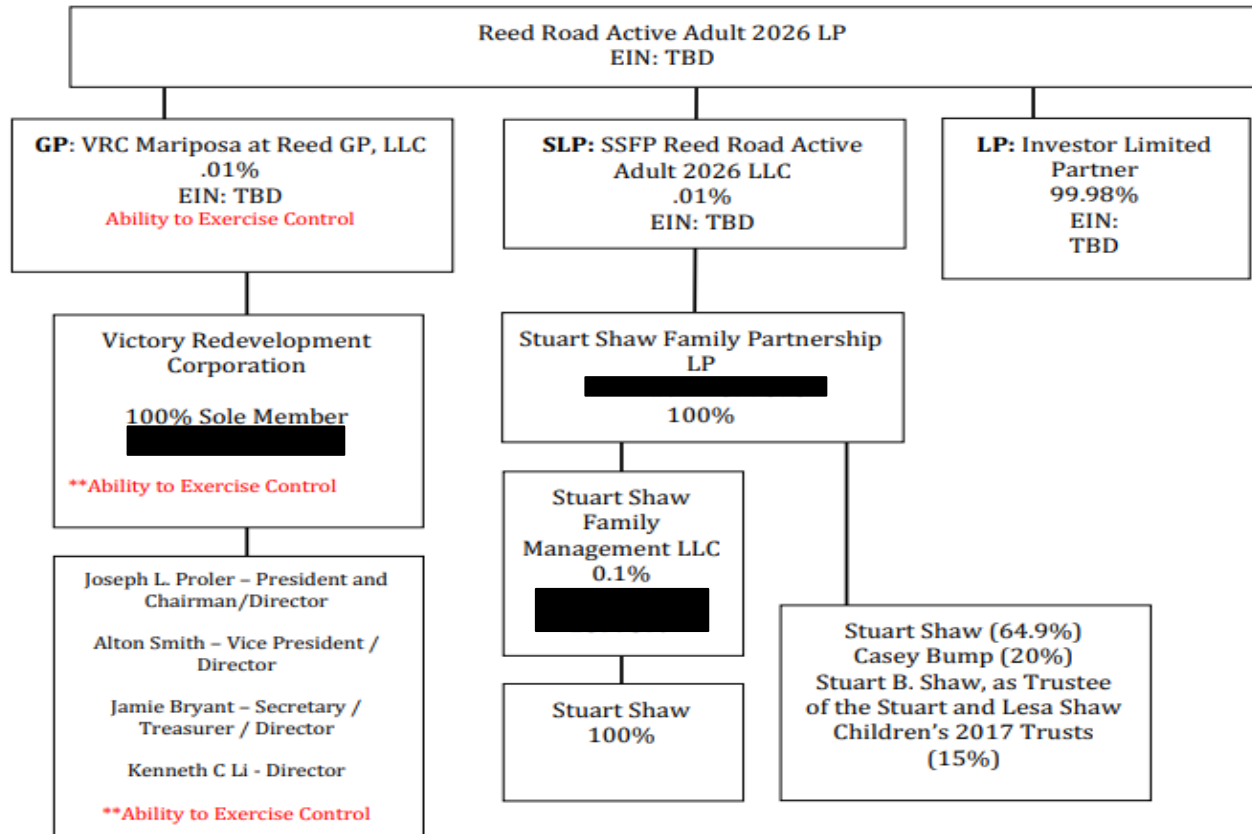
RISK PROFILE

STRENGTHS/MITIGATING FACTORS	WEAKNESSES/RISKS
▫ Experienced developer ▫ Property tax exemption	▫ Reliance on tax exemption for feasibility ▫

DEVELOPMENT TEAM

OWNERSHIP STRUCTURE

Ownership Organizational Chart



DEVELOPMENT SUMMARY

SITE PLAN



Parking	No Fee		Tenant-Paid		Total	
Open Surface	205	1.1/unit	0	--	205	1.1/unit
Carport	0	--	36	0.2/unit	36	0.2/unit
Garage	0	--	20	0.1/unit	20	0.1/unit
Total Parking	205	1.1/unit	56	0.3/unit	261	1.5/unit

Comments:

The Development provides a total of 261 parking spaces, of which 56 spaces (carports and garages) are tenant-paid and 205 parking spaces are free of charge to the tenant. Based on the provided parking requirement of 135 spaces, the Development exceeds the required parking.

A total of 15 accessible spaces are included. Additionally, one existing garage will be converted to a van-accessible space and one new van-accessible carport will be installed.

BUILDING ELEVATION



BUILDING CONFIGURATION													
Building Type	I	II	III										Total Buildings
Floors/Stories	3	1	1										
Number of Bldgs	1	12	11										
Units per Bldg	88	4	4										
Total Units	88	48	44										180
Avg. Unit Size (SF)		903 sf		Total NRA (SF)		162,497		Common Area (SF)*		52,663			

SITE CONTROL INFO			
Site Acreage:	Development Site:	<u>12.59 acres</u>	
	Density:	<u>14.3 units/acre</u>	
	Site Control:	<u>12.59</u>	Site Plan: <u>12.59</u>
		Appraisal: <u>12.59</u>	ESA: <u>12.59</u>
	Feasibility Report Survey:	<u>12.59</u>	Feasibility Report Engineer's Plan: <u>N/A</u>
		Existing LURA: <u>12.59</u>	
Control Type: <u>Agreement of Sale and Purchase - First Amendment</u>			
Development Site: <u>12.59 acres</u> Cost: <u>\$19,300,000</u> <u>\$107,222</u> per unit			
Seller: <u>Reed Road Senior Residential LP</u>			
Buyer: <u>Reed Road Active Adult 2026 LP</u>			
Related-Party Seller/Identity of Interest: <u>Yes</u>			
Date of Most Recent Arms Length Settlement Statement: <u>5/24/2007</u>			
Sales Price in Most Recent Arms Length Settlement Statement: <u>N/A - over 5 years ago</u>			
Comments: Site cost based on applicant's development cost schedule; cost is backed up by the appraisal. Ground lease is contemplated for tax exemption. The seller of the property is Reed Road Senior Residential LP (the "Seller"), which is wholly owned by Bonner Carrington. The property will be acquired by Reed Road Active Adult 2026 LP (the "Partnership."). The Special limited Partner of the Partnership is SSFP Reed Road Active Adult 2026 LLC, which is wholly owned by Bonner Carrington, and accordingly is an affiliate of the Seller. However, the Seller is not related to the Partnership for purposes of Section 42(d)(2)(B)(iii) because the Special limited Partner of the Partnership will be allocated less than 50% of the Partnership's capital and profit items and, at the time of the acquisition of the Property, the Partnership's other partners will not be affiliates of the Special limited Partner or of the Seller.			

APPRAISED VALUE

Appraiser: JLL Valuation & Advisory Services, LLC

Date: 2/4/2026

Land as Vacant: 12.59 acres	<u>\$2,550,000</u>	Per Unit:	<u>\$14,167</u>
Existing Buildings: (as-is)	<u>\$16,750,000</u>	Per Unit:	<u>\$93,056</u>
Total Development: (as-is)	<u>\$19,300,000</u>	Per Unit:	<u>\$107,222</u>

SITE INFORMATION

Flood Zone:	<u>Zone x</u>	Scattered Site?	<u>No</u>
Zoning:	<u>No Zoning</u>	Within 100-yr floodplain?	<u>No</u>
Re-Zoning Required?	<u>No</u>	Utilities at Site?	<u>Yes</u>
Year Constructed:	<u>2008</u>	Title Issues?	<u>No</u>

Current Uses of Subject Site:

The subject is an existing 180-unit LIHTC property.

TENANT RELOCATION PLAN

Relocation Strategy

Residents at Mariposa at Reed Road may be temporarily relocated using a phased approach and incorporating a combination of tactics that can be seen below. Any relocation, whether on-site or off-site is anticipated to be very short term and be defined as a "tenant-in-place" rehabilitation / renovation project.

- On-site relocation – rotation of residents into vacant units during renovations.
- Off-site relocation – corporate leases or hotel stays with provided amenities.
- Friends and family – stipend offered if tenant chooses this option.

Developer Commitments Include:

- Covering all reasonable moving, storage, and housing costs, including a stipend if the resident chooses to stay with family or friends
- Providing pass-through leases for HUD compliance
- Ensuring all units meet DSS Standards
- Offering support for damaged property claims within 30 days of return
- Fully furnishing and cleaning on-site temporary units, with costs for furniture rental, setup, and professional turnover included in the budget

Tenant Notices and Meetings

Relocation Assistance Program

A dedicated on-site relocation team will operate Monday through Friday, 9:00AM to 5:00 PM. Services will include:

- Scheduling & managing moves
- Distributing packing materials
- Coordinating transportation
- Supporting questions & claims

A robust tenant engagement plan included the following:

- Resident Needs Survey – to assess special requirements and preferences.
- General Information Notice – informs tenants of project and rights.
- Notice of Non-Displacement – confirms no permanent displacement.
- 90-Day Notice – advance warning of planned relocations.
- 30-Day Notice – final move-out timeline and instructions.

Examples of each of the notices and surveys can be found at the end of the relocation plan as exhibits.

Relocation Benefit Categories

All benefits will align with HUD & TDHCA requirements:

- Moving & Storage costs
- Full cost of temporary accommodations (rent, utilities, etc.)
- Per diem or allowances when kitchens are unavailable
- Optional moving preparation support

Projected Timeline

Construction is estimated to begin in Q3 2026 and will end Q3 2027. Residents will receive individual notice at least 30 in advance of temporary relocation. Notification and scheduling will be staggered by building. Dates may shift due to changing construction schedules, residents will be made aware of any changes in scheduling.

Applicant has budgeted \$270k [\$1,500 per unit] for relocation.

HIGHLIGHTS of ENVIRONMENTAL REPORTS

Provider: Terracon Consultants, Inc.

Date: 1/15/2026

Recognized Environmental Conditions (RECs) and Other Concerns:

- Terracon visually assessed readily accessible areas within the on-site buildings for suspect asbestos-containing materials (ACM). The limited visual observations were performed by Ms. Louise Sin, a State of Texas licensed asbestos inspector (License No.101176). No samples of suspect ACM were collected or analyzed as part of the observation. The visual observations for suspect ACM were restricted to readily visible and accessible building materials.

Summary of Suspect ACM

Material	Location	Friable/ Nonfriable	Condition
Wallboard System and Texture	Throughout	Friable	Good
Brown Vinyl Sheet Flooring and Mastic	Residential Units	Nonfriable	Good (assumed)
Sink Undercoating	Residential Units	Nonfriable	Good
Carpet Mastic	Gym and Theater Room	Nonfriable	Good
Window Caulking	Throughout	Nonfriable	Good
Door Caulking	Throughout	Nonfriable	Good

- Based on the construction date of the buildings (2008), it is unlikely that the identified materials are ACM. Limited visual observations for asbestos is not intended to serve as a comprehensive building asbestos survey, comprehensive inspection or comprehensive assessment for the presence of ACM in all or most of the building systems, nor will it serve to adequately assess the presence of ACM in a building or portions thereof for pre-demolition or pre-renovation purposes.

Terracon recommends conducting a thorough asbestos survey prior to disturbance of suspect ACM during planned renovations or building demolition.

MARKET ANALYSIS

Rehab or reconstruction projects where: (i) 100% of units are covered by an existing project based rental assistance that will continue for at least the Compliance Period, an existing Department LURA, or the subject rents are at or below 50% AMGI rents, (ii) is 80% occupied, and (iii) gives existing tenants leasing preference or the right to return, do not require a full market study. The subject property is at least 80% (96.7%) occupied via a rent roll dated 1/13/2026.

OPERATING PRO FORMA

SUMMARY - AS UNDERWRITTEN (Applicant's Pro Forma)

NOI:	\$1,124,964	Avg. Rent:	\$1,102	Expense Ratio:	49.8%
Debt Service:	\$909,052	B/E Rent:	\$994	Controllable Expenses:	\$4,101
Net Cash Flow:	\$215,912	UW Occupancy:	92.5%	Property Taxes/Unit:	\$0
Aggregate DCR:	1.24	B/E Occupancy:	83.6%	Program Rent Year:	2025

The Development is expected to benefit from an ad valorem tax exemption achieved through a ground lease structure with Victory Redevelopment Corporation, a qualified nonprofit entity. Applicant indicated no separate property tax exemption fee is payable for the exemption.

The Development has existing non-TDHCA HOME restrictions that will remain.

Applicant provided the management agreement to support their fee of 3.49%(\$78,211).

Underwriter reviewed the submitted staffing plan and found it generally consistent with the operating expense. Based on the proposed unit count, property type, and anticipated operational needs, staffing levels and associated costs appear reasonable.

Applicant submitted property current insurance policy that shows the annual premium total of \$216,673.73 (\$1,188 per unit).

Based on YE 2024 data, the average cost per unit for property insurance in the Harris County region is \$1,467. If the premiums were to increase post rehab to average costs, then the deal would still be feasible but the DCR would drop from 1.24 to 1.18.

Applicant confirmed \$50k towards sales tax exemption is included in the General Contractor Fee.

DEVELOPMENT COST EVALUATION

SUMMARY - AS UNDERWRITTEN (Applicant's Costs)

Acquisition	\$202,606/ac	\$107,222/unit	\$19,300,000	Contractor Fee	\$1,435,935
Off-site + Site Work		\$3,269/unit	\$588,393	Soft Cost + Financing	\$4,261,436
Building Cost	\$53.76/sf	\$48,533/unit	\$8,735,857	Developer Fee	\$4,694,184
Contingency	10.59%	\$5,180/unit	\$932,425	Reserves	\$752,354
Total Development Cost		\$226,114/unit	\$40,700,583	Rehabilitation Cost	\$51,801/unit
Qualified for 30% Basis Boost?		Rehabilitation Development located in QCT			

SCOPE & COST REVIEW

Provider: CODA Consulting Group

Date: 3/3/2026

Scope of Work:

Site Improvements:

- Hydro flush and TV camera inspect sanitary sewer lines.
- Allowance to repair sewer line blockage or damage.
- Clubhouse building interior renovation allowance.
- Laundry area renovation allowance.
- Remove and replace the wood perimeter fence along the west and north sides of the property.
- Clean, repair minor damage, selectively replace more severely corroded areas and repaint the metal perimeter fence along the south side of the property.
- Repair, clean and paint the fence around the pool. (With pool renovation work)
- Repair/Replace the call box entry system to good working order. Full replacement is expected.
- Repair two auto double gates to working condition.
- Repair two pedestrian gates to working conditions.
- Repair the 911 / exit gate to working condition.
- Repair/Install landscape irrigation system to good working condition. (New system is expected needed)
- Trim trees away from roofs to prevent roof damage and to improve ground sunlight/grass growth.
- Allowance to improve landscaping.
- Install soil/topsoil around the foundations as needed at all buildings.
- Replacing the corridor lighting, exit signs, emergency fixtures, and entrance sconces with LED fixtures. (Included with Interiors)
- Replace wall mounted lights with LED lights sufficient to provide adequate site lighting.
- Replace fixtures on pole mounted lights and install additional pole mounted lighting at the cottages for additional security.
- Replace 3 wooden dumpster enclosures with CMU or split face block with accessible pedestrian access at each.
- Repair the monument sign and lighting at the street.
- Replace building signage.
- Replace apartment signage.
- Repair tenant mailboxes – work expected to be minor. Consider adding automated package lockers as an upgrade.
- Repair the concrete cap at the detention pond retaining walls.
- Allowance for totally reconditioning the swimming pool and pool yard area.
- Allowance for site amenities selected by Owner to comply with TDHCA requirements.
- Replace the washers and dryers in the Laundry Rooms.
- The fireplace at the pavilion needs to be inspected, repaired and returned to working condition.
- Management reported the property has a problem with people "kicking in" the garage personnel doors or removing the hardware from the doors. Replace with more secure metal doors with metal frames.
- Various garage doors are damaged and require replacement. Allows for 50% replacement.
- All gutter discharge around the cottages and the apartment building should be piped away from the buildings.
- Repair damaged gutter downspouts at the parking garages and replace the missing concrete splash blocks.
- Add three-space carport with raised roof for van accessibility to provide two van accessible covered parking spaces

Pavement and Sidewalk Renovation

- Repair carport metal roofs, paint rusted framing and replace lighting with LED.
- Allowance for sidewalk/step to covered porch transition repairs at cottage unit entrances as needed.
- Allowance for sidewalk repairs at end of construction.
- Add bolted down speed bumps in the drive lanes throughout the property.
- Curb and curb ramp repairs at accessible parking space.
- Allowance for pavement repairs at completion of construction.
- Restripe pavements after renovation.
- Installing a new three-space elevated roof carport, and budgeting is included in Civil and Site Work section above as an accessibility parking item.

Structural and Building Exterior Renovations

- Repair balcony concrete landing crack and isolated areas of replacement.
- Clean, minor repairs and repaint steel stairs.
- Replace all windows with Energy Star qualified windows.
- Repair exterior masonry and siding as needed; expected to be minimal.
- Paint all exterior painted surfaces after repairs as needed.
- Clean, repair, and repaint the metal balcony and patio railings at Building No. 1.
- Repair/clean railings along site paths of travel.
- Replace the cottage doors from the half-glass door to a solid fiberglass door with steel frame for security reasons.
- Replace apartment patio/balcony doors, water heater closet doors, and storage room doors in Building No.1.
- Replace clubhouse common area entry doors. (With clubhouse renovation budget)
- Replace the metal sprinkler room doors at the cottages and Building No.1.
- Replace all shingle roofs.
- Replace gutters and downspouts when roofs are replaced. Replace/reinstall concrete splash blocks and direct gutter discharge water away from building exterior walls.
- Replace minor rotted wood trim around the balconies and parking garages.

Apartment Unit Interior Renovation Work

- Replace stair and corridor lighting and main building entrance sconces with LED fixtures.
(Cottage building entrance lights are at apartment entrance doors and are included with apartment lighting.)
- Drywall repair as required throughout.
- Replace any damaged interior doors, trim and replace door knob handles with lever door hardware.
- Interior unit painting.
- New vinyl plank flooring on all first floors.
- New vinyl plank flooring in upper floor kitchens, baths and living areas.
- New carpet on the upper floors in Building No. 1 bedrooms and closets.
- New cabinets, countertops, sinks and faucets in all unit kitchens and baths. Cabinets, countertops, sinks and faucets in accessible units to be modified for accessibility.
- All new kitchen appliances, including Energy Star refrigerator and dishwasher, disposal, gas stove and recirculating venting microwave. Owner could decide to not replace newer appliances.
- Budget to professionally clean 90% of tubs, shower pans and tub/shower surrounds.
- Budget to replace 10% of tubs, shower pans and tub/shower surrounds.
- New bath mirrors.
- New water efficient (Water Sense) toilets, vanity faucets, and shower heads in all baths.
- Replace all tub/shower mixing valves.
- New bath accessories in all baths.
- New medicine cabinets in all baths.
- New two inch faux wood horizontal blinds on all windows and glass patio/balcony doors.
- New LED lighting in all units.
- New Energy Star ceiling fans in all living rooms and bedrooms. Owner could decide to only replace ceiling fans as needed.

MEP and FP System Renovation Work

Vertical Transportation Renovation Work

- Replace the elevator's cab finishes.
- Budget for elevator control modernization and upgrade of equipment as needed.

Accessibility Renovation Work

- Additional costs for 9 mobility accessible units.
- Move/add two mobility accessible units in Building 1 to second and third floors
- Additional costs for 4 hearing and visual impaired units.
- Additional costs for about 1 accessible surface parking space.
- Provide 1 set of front-loading washers and dryers at the laundry room.
- Bathroom vanities in the Clubhouse restrooms require re-work for compliance. This should be covered by the general clubhouse renovation budget. Additional accessibility items included in other line items

Contingency:

Underwriter adjusted \$55k of Soft Cost Contingency from Soft Costs to Total Contingency. Per TDHCA rule 11.302(e)(5), "Total contingency including any soft cost contingency..."

As a result of the adjustment, Contingency is overstated by \$55k in total cost and eligible basis.

Developer Fee:

Developer fee is overstated by \$9k in eligible basis and \$6k in total cost.

Comments:

As a result of the adjustments listed above, there is going to be a reduction of credits by \$3k.

Credit Allocation Supported by Costs:

Total Development Cost	Adjusted Eligible Cost	Credit Allocation Supported by Eligible Basis
\$40,700,583	\$35,807,577	\$1,540,077

APPLICANT'S CAPITALIZATION

BOND RESERVATION

Issuer	Amount	Reservation Date	Priority
Houston Housing Authority Fountainview PFC	\$20,000,000	2/5/2026	Priority 2
Closing Deadline			
8/4/2026			

Percent of Cost Financed by Tax-Exempt Bonds

51.8%

Comments:

PERMANENT SOURCES

Debt Source	PROPOSED				UNDERWRITTEN				
	Amount	Interest Rate	Amort	Term	Amount	Interest Rate	Amort	Term	LTC
Stellar Bank	\$14,740,000	5.35%	40	18.0	\$14,740,000	5.35%	40	18.0	36%
Total	\$25,742,777				\$25,742,777				

Comments:

Applicant submitted the debt service payment based off a different interest accrual methodology which resulted in an \$8,890 overstatement compared to TDHCA's calculation. As to remain consistent with TDHCA's process of calculating the payment, the Underwriter adjusted the Applicant's debt service payment to match TDHCA's payment calculation.

CONCLUSIONS

Recommended Financing Structure:

Gap Analysis:	
Total Development Cost	\$40,700,583
Permanent Sources (debt + non-HTC equity)	\$25,742,777
Gap in Permanent Financing	\$14,957,806

Possible Tax Credit Allocations:	Equity Proceeds	Annual Credits
Determined by Eligible Basis	\$12,602,112	\$1,540,077
Needed to Balance Sources & Uses	\$14,957,806	\$1,827,961
Requested by Applicant	\$12,627,805	\$1,543,217

	RECOMMENDATION	
	Equity Proceeds	Annual Credits
Tax Credit Allocation	\$12,602,112	\$1,540,077

Deferred Developer Fee	\$2,355,695	(50% deferred)
Repayable in	9 years	

Recommendation:

Underwriter recommends an annual tax credit allocation of \$1,540,077 as determined by eligible basis.

Underwriter:	<u>Michelle Tan</u>
Manager of Real Estate Analysis:	<u>Robert Castillo</u>
Director of Real Estate Analysis:	<u>Jeanna Adams</u>

UNIT MIX/RENT SCHEDULE	
Mariposa at Reed Road, Houston, 4% HTC #26416	

LOCATION DATA	
CITY:	Houston
COUNTY:	Harris
Area Median Income	\$101,100
PROGRAM REGION:	6
PROGRAM RENT YEAR:	2025

UNIT DISTRIBUTION							PRO FORMA ASSUMPTIONS	
# Beds	# Units	% Total	Assisted	MDL	SHTC	Match	Revenue Growth	2.00%
Eff	-	0.0%	0	0	0	0	Expense Growth	3.00%
1	93	51.7%	0	0	0	0	Basis Adjust	130%
2	87	48.3%	0	0	0	0	Applicable Fraction	94.43%
3	-	0.0%	0	0	0	0	APP % Acquisition	4.00%
4	-	0.0%	0	0	0	0	APP % Construction	4.00%
5	-	0.0%	0	0	0	0	Average Unit Size	903 sf
TOTAL	180	100.0%	-	-	-	-		

60%	Income	20%	30%	40%	50%	60%	70%	80%	EO / MR	TOTAL
Average	# Units	-	-	-	-	172	-	-	8	180
Income	% Total	0.0%	0.0%	0.0%	0.0%	95.6%	0.0%	0.0%	4.4%	100.0%

UNIT MIX / MONTHLY RENT SCHEDULE																	
FEDERAL HTC		Existing LURA Restrictions		Non-TDHCA Restrictions	UNIT MIX				APPLICABLE PROGRAM RENT			APPLICANT'S PRO FORMA RENTS				MARKET RENTS	
Type	Gross Rent	Type	Gross Rent		# Units	# Beds	# Baths	NRA	Gross Rent	Utility Allow	Max Net Program Rent	Delta to Max	Rent psf	Net Rent per Unit	Total Monthly Rent		Mrkt Analyst
TC 60%	\$1,137	TC 30%	\$568		6	1	1	756	\$568	\$71	\$497	\$0	\$0.66	\$497	\$2,982		\$1,200
TC 60%	\$1,137	TC 50%	\$948	HOME	2	1	1	756	\$948	\$71	\$877	\$0	\$1.16	\$877	\$1,754		\$1,200
TC 60%	\$1,137	TC 60%	\$1,137		32	1	1	756	\$1,137	\$71	\$1,066	\$0	\$1.41	\$1,066	\$34,112		\$1,200
TC 60%	\$1,137	TC 60%	\$1,137	HOME	8	1	1	756	\$1,137	\$71	\$1,066	\$0	\$1.41	\$1,066	\$8,528		\$1,200
TC 60%	\$1,137	TC 30%	\$568		3	1	1	760	\$568	\$71	\$497	\$0	\$0.65	\$497	\$1,491		\$1,200
TC 60%	\$1,137	TC 50%	\$948	HOME	3	1	1	760	\$948	\$71	\$877	\$0	\$1.15	\$877	\$2,631		\$1,200
TC 60%	\$1,137	TC 60%	\$1,137		28	1	1	760	\$1,137	\$71	\$1,066	\$0	\$1.40	\$1,066	\$29,848		\$1,200
TC 60%	\$1,137	TC 60%	\$1,137	HOME	11	1	1	760	\$1,137	\$71	\$1,066	\$0	\$1.40	\$1,066	\$11,726		\$1,200
TC 60%	\$1,365	TC 30%	\$682		4	2	2	1,026	\$682	\$81	\$601	\$0	\$0.59	\$601	\$2,404		\$1,425
TC 60%	\$1,365	TC 50%	\$1,137		3	2	2	1,026	\$1,137	\$81	\$1,056	\$0	\$1.03	\$1,056	\$3,168		\$1,425
TC 60%	\$1,365	TC 60%	\$1,365		22	2	2	1,026	\$1,365	\$81	\$1,284	\$0	\$1.25	\$1,284	\$28,248		\$1,425
TC 60%	\$1,365	TC 60%	\$1,365		11	2	2	1,026	\$1,365	\$81	\$1,284	\$0	\$1.25	\$1,284	\$14,124		\$1,425
MR		TC 00%			4	2	2	1,026	\$0	\$0		NA	\$1.33	\$1,365	\$5,460		\$1,425
TC 60%	\$1,365	TC 30%	\$682		5	2	2	1,075	\$682	\$81	\$601	\$0	\$0.56	\$601	\$3,005		\$1,475
TC 60%	\$1,365	TC 50%	\$1,137		1	2	2	1,075	\$1,137	\$81	\$1,056	\$0	\$0.98	\$1,056	\$1,056		\$1,475
TC 60%	\$1,365	TC 60%	\$1,365		29	2	2	1,075	\$1,365	\$81	\$1,284	\$0	\$1.19	\$1,284	\$37,236		\$1,475
TC 60%	\$1,365	TC 60%	\$1,365		4	2	2	1,075	\$1,365	\$81	\$1,284	\$0	\$1.19	\$1,284	\$5,136		\$1,284
MR		TC 00%			4	2	2	1,235	\$0	\$0		NA	\$1.11	\$1,365	\$5,460		\$1,525
TOTALS/AVERAGES:					180				162,497				\$0	\$1.22	\$1,102	\$198,369	\$1,318

ANNUAL POTENTIAL GROSS RENT:	\$2,380,428	
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STABILIZED PRO FORMA

Mariposa at Reed Road, Houston, 4% HTC #26416

STABILIZED FIRST YEAR PRO FORMA

		STABILIZED FIRST YEAR PRO FORMA					
		COMPARABLES		APPLICANT			
		Database		% EGI	Per SF	Per Unit	Amount
POTENTIAL GROSS RENT					\$1.22	\$1,102	\$2,380,428
Covered Parking & Garages						\$6.11	\$13,200
Storage						\$5.00	\$10,800
Fees & Miscellaneous						\$9.00	\$19,440
Total Secondary Income						\$20.11	
POTENTIAL GROSS INCOME							\$2,423,868
Vacancy & Collection Loss						7.5% PGI	(181,790)
EFFECTIVE GROSS INCOME						\$2,242,078	

General & Administrative	\$97,906	\$544/Unit		4.68%	\$0.65	\$583	\$104,905	
Management	\$90,627	4.5% EGI		3.49%	\$0.48	\$435	\$78,221	
Payroll & Payroll Tax	\$272,102	\$1,512/Unit		14.13%	\$1.95	\$1,760	\$316,750	
Repairs & Maintenance	\$151,023	\$839/Unit		6.29%	\$0.87	\$784	\$141,032	
Electric/Gas	\$48,683	\$270/Unit		1.27%	\$0.18	\$158	\$28,500	
Water, Sewer, & Trash	\$149,826	\$832/Unit		6.56%	\$0.90	\$817	\$147,000	
Property Insurance	\$189,061	\$1.16 /sf		9.54%	\$1.32	\$1,188	\$213,856	
Property Tax (@ 0%)	\$182,430	\$1,013/Unit		0.00%	\$0.00	\$0	\$0	
Reserve for Replacements				2.41%	\$0.33	\$300	\$54,000	
TDHCA Compliance fees (\$40/HTC unit)				0.32%	\$0.04	\$40	\$7,200	
Bond Trustee Fees				0.14%	\$0.02	\$18	\$3,200	
Utility Allowance Consultant Fees				0.17%	\$0.02	\$21	\$3,700	
Fees, Telephone, Internet, Cable				0.84%	\$0.12	\$104	\$18,750	
TOTAL EXPENSES				49.82%	\$6.87	\$6,206	\$1,117,114	
NET OPERATING INCOME ("NOI")				50.18%	\$6.92	\$6,250	\$1,124,964	

CONTROLLABLE EXPENSES		\$4,101/Unit	
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TOTAL DEVELOPMENT BUDGET / ITEMIZED BASIS				
Mariposa at Reed Road, Houston, 4% HTC #26416				

				DEVELOPMENT COST / ITEMIZED BASIS			
				APPLICANT COST / BASIS ITEMS			
				Eligible Basis		Total Costs	
				Acquisition	New Const. Rehab		
Land Acquisition				\$14,167 / Unit		\$2,550,000	
Building Acquisition		\$16,750,000		\$93,056 / Unit		\$16,750,000	
Off-Sites			\$0	\$ / Unit		\$0	
Site Work			\$148,556	\$825 / Unit		\$148,556	
Site Amenities			\$439,837	\$2,444 / Unit		\$439,837	
Building Cost			\$8,592,643	\$53.76 /sf	\$48,533/Unit	\$8,735,857	
Contingency			\$973,104	10.60%	10.59%	\$987,425	
Contractor Fees			\$1,413,880	13.92%	13.93%	\$1,435,935	
Soft Costs		\$0	\$1,120,000	\$8,000 / Unit		\$1,440,000	
Financing		\$0	\$1,754,004	\$15,675 / Unit		\$2,821,436	
Developer Fee	15.00%	\$2,512,500	\$2,167,000	15.00%	14.99%	\$4,700,000	
Reserves				4 Months		\$752,354	
TOTAL HOUSING DEVELOPMENT COST (UNADJUSTED BASIS)		\$19,262,500	\$16,609,023	\$226,452 / Unit		\$40,761,400	
Acquisition Cost		\$0				\$0	
Contingency			(\$55,000)			(\$55,000)	
Contractor's Fee			\$0			\$0	
Financing Cost			\$0				
Developer Fee	0.00%	\$0	(\$8,947)	15.00%	15.00%	(\$5,816)	
Reserves						\$0	
ADJUSTED BASIS / COST		\$19,262,500	\$16,545,077	\$226,114/unit		\$40,700,583	

TOTAL HOUSING DEVELOPMENT COSTS Applicant's Uses					\$40,700,583
TOTAL DEVELOPMENT BUDGET / ITEMIZED BASIS					
Mariposa at Reed Road, Houston, 4% HTC #26416					

	CREDIT CALCULATION ON QUALIFIED BASIS	
	Applicant	
	Acquisition	Construction Rehabilitation
ADJUSTED BASIS	\$19,262,500	\$16,545,077
Deduction of Federal Grants	\$0	\$0
TOTAL ELIGIBLE BASIS	\$19,262,500	\$16,545,077
High Cost Area Adjustment		130%
TOTAL ADJUSTED BASIS	\$19,262,500	\$21,508,600
Applicable Fraction	94.43%	94.43%
TOTAL QUALIFIED BASIS	\$18,190,418	\$20,311,508
Applicable Percentage	4.00%	4.00%
ANNUAL CREDIT ON BASIS	\$727,617	\$812,460
CREDITS ON QUALIFIED BASIS	\$1,540,077	

	ANNUAL CREDIT CALCULATION BASED ON TDHCA BASIS		FINAL ANNUAL LIHTC ALLOCATION		
	Annual Credits	Proceeds	Credit Price \$0.8183	Variance to Request	
Method			Credit Allocation	Credits	Proceeds
Eligible Basis	\$1,540,077	\$12,602,112	\$1,540,077	(\$3,140)	(\$25,693)
Needed to Fill Gap	\$1,827,961	\$14,957,806	----	----	----
Applicant Request	\$1,543,217	\$12,627,805	----	----	----

25% Test for Bond Financing for 4% Tax Credits		
Tax-Exempt Bond Amount	\$20,000,000	
		Applicant
Land Cost	\$2,550,000	\$2,550,000
Depreciable Bldg Cost **	\$36,071,614	\$36,071,614
Aggregate Basis for 25% Test	\$38,621,614	\$38,621,614
Percent Financed by Tax-Exempt Bonds	51.78%	51.78%

**Depreciable building cost includes: Total construction contract, total building acquisition, total developer fee, plus eligible financing and soft costs.

PROPOSED SOURCES OF FINANCING										
Mariposa at Reed Road, Houston, 4% HTC #26416										
		Interim		Permanent Period				Debt Service		
DEBT	Type	Principal	Rate	Principal	Term	Amort	Rate	DCR	Payment	Fee
Stellar Bank	Construction to Perm	\$20,000,000	5.35%	\$14,740,000	18.0	40	5.35%	1.24	\$909,052	0.10%
Stellar Bank	Bridge Loan	\$5,000,000	6.00%	\$0	0.0	0	0.00%	1.24		0.00%
TOTAL		\$25,000,000		\$14,740,000				1.24	Cumulative DCR	
EQUITY					credit price	annual credits				
RBC Capital Markets Corporation	\$1,543,217 HTC Equity	\$1,262,781		\$12,602,112	\$0.82	\$1,540,077				
TOTAL		\$1,262,781		\$12,602,112						
PARTNERSHIP DEBT										
SSFD Reed Road Active Adult 2026 Developer LLC	Deferred Developer Fee	\$2,390,818		\$2,355,695						
TOTAL		\$2,390,818		\$2,355,695						
CASH FLOW DEBT/GRANTS										
Seller's Note	Seller's Note	\$9,553,448		\$9,553,448						
TOTAL		\$9,553,448		\$9,553,448						
OTHER										
Income From Operations	Operating Income	\$1,330,213		\$1,330,213						
Reinvestment Income	Reinvestment Income	\$119,116		\$119,116						
TOTAL		\$1,449,329		\$1,449,329						
TOTAL		\$39,656,376		\$40,700,583						

Long-Term Pro Forma

Mariposa at Reed Road, Houston, 4% HTC #26416

	Growth Rate	Year 1	Year 2	Year 3	Year 4	Year 5	Year 10	Year 15	Year 20	Year 25	Year 30	Year 35	Year 40
EFFECTIVE GROSS INCOME	2.00%	\$2,242,078	\$2,286,919	\$2,332,658	\$2,379,311	\$2,426,897	\$2,679,491	\$2,958,374	\$3,266,284	\$3,606,242	\$3,981,582	\$4,395,988	\$4,853,526
TOTAL EXPENSES	3.00%	\$1,117,114	\$1,149,845	\$1,183,543	\$1,218,235	\$1,253,952	\$1,449,001	\$1,674,630	\$1,935,658	\$2,237,669	\$2,587,128	\$2,991,523	\$3,459,531
NET OPERATING INCOME ("NOI")		\$1,124,964	\$1,137,074	\$1,149,115	\$1,161,076	\$1,172,945	\$1,230,490	\$1,283,744	\$1,330,626	\$1,368,573	\$1,394,454	\$1,404,465	\$1,393,996
EXPENSE/INCOME RATIO		49.8%	50.3%	50.7%	51.2%	51.7%	54.1%	56.6%	59.3%	62.0%	65.0%	68.1%	71.3%
MUST -PAY DEBT SERVICE													
Stellar Bank		\$909,052	\$908,943	\$908,829	\$908,709	\$908,581	\$907,833	\$906,856	\$905,579	\$903,912	\$901,736	\$898,893	\$895,181
TOTAL DEBT SERVICE		\$909,052	\$908,943	\$908,829	\$908,709	\$908,581	\$907,833	\$906,856	\$905,579	\$903,912	\$901,736	\$898,893	\$895,181
DEBT COVERAGE RATIO		1.24	1.25	1.26	1.28	1.29	1.36	1.42	1.47	1.51	1.55	1.56	1.56
ANNUAL CASH FLOW		\$215,912	\$228,131	\$240,286	\$252,367	\$264,364	\$322,657	\$376,889	\$425,047	\$464,660	\$492,719	\$505,572	\$498,815
Deferred Developer Fee Balance		\$2,139,783	\$1,911,652	\$1,671,366	\$1,418,998	\$1,154,635	\$0	\$0	\$0	\$0	\$0	\$0	\$0
CUMULATIVE NET CASH FLOW		\$0	\$0	\$0	\$0	\$0	\$343,335	\$2,121,311	\$4,153,116	\$6,401,166	\$8,813,944	\$11,323,001	\$13,839,422